

PROPERTY MANAGEMENT · REFERENCE

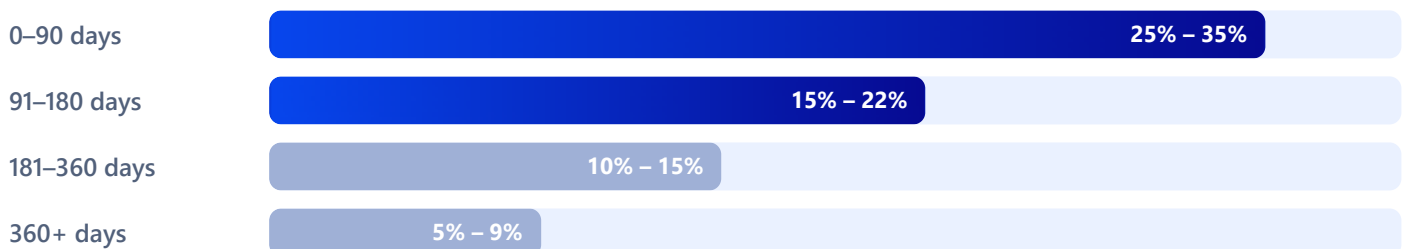
The Cost of Delayed Placement

Why unpaid-rent and eviction balances recover far better when placed at move-out

In property management, the age of a balance is the strongest predictor of whether it is ever recovered. The window between a tenant's move-out and the day the account is placed determines how much of that unpaid rent, damage and fees you actually collect — and it closes faster than most operators expect.

Expected recovery by account age

Delaying placement of tenant debt beyond 360 days significantly limits the chance of recovery. Southwest Recovery's property-management experience shows a steep decline in expected recovery as accounts age — the fresher the balance, the more comes back.



Expected ranges from Southwest Recovery's property-management book; actual recovery varies by balance size, documentation and contact-data quality. We give an honest read on a representative sample before any accounts are worked.

Why recovery collapses after 360 days

- **Debtor disengagement** from relocation or lost contact — the forwarding address and phone on the lease decay quickly once a tenant leaves.
- **Documentation degradation** that weakens legal leverage as time passes.
- **Cost of skip tracing and legal** begins to outweigh the recoverable amount on very old, small balances.
- **Reduced urgency and limited credit-reporting pressure** — and in Texas, the four-year statute of limitations (which a payment cannot revive) can foreclose legal escalation entirely.

What delay actually costs — a real example

In a recent review of **\$107,616.72** in owner accounts already aged past 360 days:

- Total collected was **negative (-\$17,239.03)** — reflecting chargebacks and reversals on stale accounts.
- Placed instead at 60–90 days, at a 31% recovery rate, an estimated **\$33,361.18** could have been collected.

Net opportunity cost: over \$50,000 lost by delaying placement on a single batch.

The early-placement advantage

Placing balances at move-out — individually or as a bulk export from your property-management software — puts the full recovery toolkit to work while it still bites:

- Daily, Experian-powered skip tracing to locate tenants while the trail is fresh.
- Reporting to Equifax, Experian and Experian RentBureau — a tradeline that follows the tenant to their next lease.
- Structured payment plans a former tenant can realistically honor.
- Pure contingency — no upfront cost, so there is no reason to let a balance age.

What to do with the backlog

Placing early does not mean writing off older accounts. Aged balances should still be placed — skip tracing and a credit tradeline recover a meaningful share, and on contingency there is no cost to trying. The point is simpler: the sooner an account is placed, the more comes back. Tightening the placement window on *current* move-outs is the highest-leverage change most operators can make.

A practical starting point

- Place a test batch of recent move-outs to see the model work.
- Place the aged backlog in parallel for skip-traced, credit-reported recovery at no upfront cost.
- Measure recovery by placement age — the gap makes the case for placing at move-out, permanently.

Recommendation: a 90-day maximum placement policy

Earlier placement is not just a best practice — it is a revenue imperative. A standardized process that identifies, reviews and places accounts between **60 and 90 days** of delinquency can more than double recovery outcomes and stabilize portfolio performance. We will help you stand it up.

Put a number on your window

We will review a representative sample of your ledger and give you an honest, age-based read on what is recoverable — and what earlier placement would add.

Call (866) 551-4684 · sdietz@swrecovery.com · swrecovery.com

Provided for general informational purposes; not legal advice. Recovery figures are illustrative and vary by portfolio. Southwest Recovery Services does not collect consumer debt in California, Oregon or Washington.